Local government

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In accordance with the Constitution and the Organised Local Government Act, 1997 (Act 52 of 1997), up to 10 part-time representatives may be designated to represent municipalities and participate in proceedings of the National Council of Provinces. The Department of Cooperative Governance aims to build and strengthen the capability and accountability of provinces and municipalities.

This includes:

- continued hands-on support through the established system and capacity building programme, focusing on critical areas such as integrated development planning, local economic development (LED), financial management, service delivery and public participation;
- evaluating the impact of government programmes in municipal areas, enhancing performance and accountability by improving the quality of reporting on the Local Government Strategic Agenda and improving the monitoring, reporting and evaluation of capacity in local government; and
- coordinating and supporting policy development, implementing the Local Government Strategic Agenda, and monitoring and supporting service delivery.

Municipalities

South Africa has 257 metropolitan, district and local municipalities. This number comprises eight metropolitan, 44 district and 205 local municipalities. They are focused on growing local economies and providing infrastructure and service. As directed by the Constitution, the Local Government: Municipal Structures Act of 1998 contains criteria for determining when an area must have a category-A municipality (metropolitan municipalities) and when municipalities fall into categories B (local municipalities) or C (district municipalities). The Act also determines that category-A municipalities can only be established in metropolitan areas.

Metropolitan councils have single metropolitan budgets, common property ratings and service-tariff systems, and single-employer bodies.

The eight metropolitan municipalities are:

- Buffalo City (East London)
- City of Cape Town
- Ekurhuleni Metropolitan Municipality (East Rand)
- City of eThekwini (Durban)
- City of Johannesburg
- Mangaung Municipality (Bloemfontein)
- Nelson Mandela Bay Metropolitan Municipality (Gqeberha)
- City of Tshwane (Pretoria).

Metropolitan councils may decentralise powers and functions.However, all original municipal, legislative and executive powers are vested in the metropolitan council. In metropolitan areas, there is a choice of types of executive system: the mayoral executive system where executive authority is vested in the mayor, or the collective executive committee system where these powers are vested in the executive committee.

Non-metropolitan areas consist of district councils and local councils. District councils are primarily responsible for capacity building and district-wide planning. The Local Government: Municipal Structures Act of 1998 provides for ward committees whose tasks, among other things, are to:

- prepare, implement and review integrated development plans;
- establish, implement and review municipalities' performance management systems;
- monitor and review municipalities' performances;
- prepare municipalities' budgets;
- participate in decisions about the provision of municipal services; and
- communicate and disseminate information on governance matters.

Implementation of interventions in municipalities

The department continued to monitor the implementation of Municipal Support and Intervention Plans (MSIP) in 66 municipalities across the country as per the categorisation in the 2022 State of Local Government Report.

In October 2024, the department presented a report to the Governance, State Capacity and Institutional Development Cabinet Committee that showed the implementation of MSIPs resulted in the reduction of distressed municipalities from 66 to 35 in the 2023 State of Local Government Report. In addition, provinces have intervened or maintained interventions in 41 municipalities. In some cases, provinces have deployed teams of experts to support these municipalities. The most recent intervention is that of Thabazimbi Municipality, where the Council was dissolved. Although the election has been held, the Limpopo Provincial Government has retained the team of experts at the municipality for an additional three months.

The National Cabinet has not revoked the three national interventions in Mpumalanga, Free State, and Eastern Cape. The department has deployed a team of experts to support the Enoch Mgijima Municipality while the interventions in Lekwa and Mangaung have no resident experts but are supported through regular engagements in the war rooms established for each municipality.

The department maintains the Results Management Office (RMO), which comprises teams of experts deployed to various municipalities on a needs basis. Currently, 84 experts are deployed to intervene in the areas of infrastructure, energy, finance, and governance. The team also assists the department in the Community Work Programme and the institutionalisation of the District Development Model (DDM). Currently, the RMO is assisting the department in supporting more than 30 municipalities with their blue-drop, green-drop, and no-drop assessment outcomes. These municipalities are supported to prepare and implement corrective action plans to address challenges that have led to sewer spillages in these municipalities.

Interventions on Municipal Financial Management

The department has taken several steps to address the financial sustainability of local government. It regularly analyses municipal compliance with the Municipal Systems Act and the Municipal Property Rates Act. This analysis focuses on key areas such as:

- Municipal property valuation: Critical aspects of municipal property valuation, including the valuation roll and maintenance, are examined.
- Municipal property rating: Municipal property rating aspects, including rates policies and cent-in-eand rates, are reviewed.
- Water and electricity tariff policies: Water and electricity tariff policies, related tariff lists and bylaws are analysed to ensure the adequacy of tariffs.
- Municipal indigent policies: Indigent policies and related indigent registers are assessed.
- Credit control and debt collection policies: It evaluates credit and debt collection policies and related by-laws to ensure effective implementation.

District Development Model (DDM) implementation

The draft IGR Framework Bill has been accepted by the Cabinet for public comment and will shortly be presented to Parliament for further processing and approval. The DDM, which continues to be the government's primary tool for ensuring integration and eliminating fragmentation, will be strengthened and institutionalised through this bill.

The President has appointed DDM Champions across all 52 DDM spaces to provide oversight over the implementation of the DDM. The DDM champions must ensure that all-of-government and all-of-society collaborate to implement the DDM One Plans in all 52 DDM spaces.

Furthermore, the Department of Cooperative Governance has developed and launched an integrated data management system, the DDM National Strategic Hub, which will enable the whole of government not only to collect but process data for improved and faster decision-making.

The institutionalisation of the DDM made steady progress; however, the envisaged objectives were not fully achieved. The DDM as an approach required a significant shift away from aligning intergovernmental plans and budgets to a system of joint planning and budgeting, without undertaking a major overhaul of existing systems and processes.

Calls for a proper regulatory and policy framework for the institutionalisation and implementation of the DDM were echoed across government, which resulted in delays in fully achieving the overall institutionalisation objective. Nonetheless, the 6th Administration managed to develop a set of regulations towards the end of its term that will assist the 7th Administration in fast-tracking the full institutionalisation of the DDM.

As of December 2023, the draft Amendment Bill was submitted to the Office of the Chief State Law Advisor for vetting and legal opinion following the conclusion of intergovernmental dialogues and consultations. In total, 15 districts/metros were supported to implement DDM Catalytic projects as of December 2023.

Implementation of measures to address the effects of climate change

The country faces an increasing number of disaster incidents that occur during the winter and summer seasons and include flooding, storm surges, veld fires and drought. The steadily increasing number of incidents is a manifestation of the severe impact of climate change. These incidents require government to upscale its response and recovery measures, and this includes partnering with other government agencies and private and non-governmental organisations. The department acknowledges the challenges faced by the country in funding disaster interventions, mainly due to an increase in disaster damages, fiscal deficits and competing priorities. In the 2024/25 financial year, the DCoG approached National Treasury to solicit additional funding to ensure that communities affected by various disasters can optimally access basic services and humanitarian relief. Because of the prevailing strain on the fiscus, there is a need for the private sector and all relevant stakeholders contribute towards restoring a sense of normalcy in the aftermath of disasters. Over and above the R1.268 billion allocations in 2024/25, an additional R1.6 billion was made available through the Adjusted Estimates of National Expenditure (AENE) 2024 process to respond to the disasters that affected 29 municipalities and the provincial sector departments such as agriculture, education, roads, and health across the various provinces in 2023/24 and 2024/25, respectively. This funding comprises R683.955 million and R947.500 million, channelled directly to restore damaged infrastructure, ensuring that essential services to communities remain stable and resilient to disasters. Municipalities are now implementing recovery measures to ensure the restoration of infrastructure needed to enable seamless service delivery.

The NDMC has embarked on a process to review and overhaul the system of disaster management to address emerging issues such as the effects of climate change and rapid urbanisation that are challenging the robustness and agility of the current system. In view of the gaps identified in the disaster management legislative framework to deal with new phenomena, capacity and resourcing disparities across the three spheres of government, and the configuration of the delivery model, a new system has been proposed and will be presented to Cabinet in the near future.

Professionalising the Public Sector

The DCoG introduced competency assessments for senior managers in 2016 in line with the Competency Framework as promulgated in 2014. This requires persons recommended for appointment to senior manager positions in local government to undergo competency-based assessment to ensure that suitably qualified and competent senior managers are appointed by municipalities. The objective of the Competency Framework is also to guide senior managers on the core competencies and lead competencies required to enhance contextualised leadership that guarantees service delivery impact and competencies that drive long-term and measurable service delivery performance results.

The DCoG has recently finalised the review of this competency framework in consultation with professional bodies to ensure that personnel with the relevant technical and professional acumen and experience are appointed in local government, improve the quality of appointments, develop the skills and expertise within municipal structures, and improve overall municipal performance. The benefit of the review is that all municipalities will follow the same assessment procedures and similar batteries to appoint senior managers, which will guide the improvement of the quality of appointments.

Bringing stability to governance in metros and restoring the delivery of services

The amendments to the Local Government: Municipal Structures Act, 1998 provide for a legislative framework to guide the formation and management of coalition governments, as well as providing systems to minimise the challenges of coalitions related to poor governance, service delivery and instability in municipal councils, within the local government sphere.

The Bill will compel political parties to enter into a written and negotiated binding agreement between parties that form a coalition government in a municipality in which no political party has a majority of seats in the council, so as to promote continued service delivery and transparent and open governance.

On 27 March 2024, the Bill was approved by Cabinet for publication in the Government Gazette for public comments with an extended closing date of 31 August 2024. Post the publication, the Department convened a two-day workshop (25 to 26 September 2024) with all major stakeholders in local government and sector departments, to consider the comments received on the Bill. The Bill will be introduced into Parliament in due course.

Engender a culture of maintenance of public infrastructure The IUDG provides for a planning component to be used by recipient municipalities to develop an infrastructure asset management plan. These plans are critical in ensuring that municipalities plan for the maintenance of existing infrastructure.

Reforming the local government system and improving the delivery of basic services

Significant progress has been made with the establishment of structures of local government and the delivery and extension of access to services for South Africa's millions of citizens.

The department is embarking on a comprehensive process to review the 1998 White Paper on Local Government between now and March 2026. The White Paper Review is one of the flagship projects and part of the continuous efforts by the department to address challenges and improve the functioning of the local government system.

The aim of the White Paper Review is to identify and rectify any incorrect assumptions in the White Paper that have hindered the effective functioning of local government and make appropriate recommendations for implementation following local government elections in 2026. The department initiated a process to review the various pieces of legislation that impact on local government with the view to entrenching good practices and addressing the challenges that have been experienced. This culminated in the development of the Local Government: General Laws Amendment Bill ("the Bill").

The Bill is aimed at enhancing the functionality and efficiency of local government. This Bill reflects the government's ongoing commitment to ensuring good governance and improving service delivery within municipalities across South Africa.

On 27 March 2024, the Bill was approved by Cabinet for publication in the Government Gazette for public comments with an extended closing date of 31 August 2024. The Bill will be processed concurrently with the process undertaken by the Department to review the White Paper on Local Government.

The Minister of Cooperative Governance and Traditional Affairs, as required in terms of Section 20 of the Local Government: Municipal Structures Act, 1998 ("the Structures Act"), determined and published a formula by notice in Government Notice No. 5249 in the Government Gazette No. 51331 on 2 October 2024 determining the number of councillors for the different categories of municipalities in preparation for the 2026/2027 local government elections.

Municipal Infrastructure Grant

The grant aims to eradicate municipal infrastructure backlogs in poor communities to ensure the provision of basic services such as water, sanitation, roads and community lighting. The Department of Cooperative Governance is responsible for managing and transferring the Municipal Infrastructure Grant, and provides support to provinces and municipalities on implementing the grant projects.

Community Work Programme

This is a key government initiative aimed at mobilising communities to provide regular and predictable work opportunities at the local government level. The purpose of the programme is to provide an employment safety net for those without access to opportunities designed to lift them out of poverty. The programme recognises that policies to address unemployment and create decent work will take time to reach people living in marginalised areas where few opportunities exist.

Local economic development

LED is an approach towards economic development that allows and encourages local people to work together to achieve sustainable economic growth and development, thereby bringing economic benefits and improved quality of life to all residents in a local municipal area. LED is intended to maximise the economic potential of municipal localities and enhance the resilience of macro-economic growth through increased local economic growth, employment creation and development initiatives within the context of sustainable development.

The "local" in economic development points to the fact that the political jurisdiction at local level is often the most appropriate place for economic intervention, as it carries alongside it the accountability and legitimacy of a democratically elected body.

LED programmes provide support in the following areas:

- Developing and reviewing national policy, strategy and guidelines on LED;
- Providing direct and hands-on support to provincial and local government;
- Managing the LED Fund;
- Managing and providing technical support to nodal economic development planning;
- Facilitating, coordinating and monitoring donor programmes; and
- Assisting LED capacity-building processes.

Through these interventions and resources, local role players and interest groups are mobilised to achieve economic growth and creating jobs to reduce poverty.

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